FREE FINANCING GUIDE

Long-Term Commercial Mortgage Guide

Why This Category Offers the Deepest Lender Competition in Commercial Real Estate, What the 2026 Environment Looks Like, and the Metrics That Drive Approvals

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PAGE 1

Why Permanent Financing Offers Genuine Lender Competition

Stabilized commercial real estate sits at the center of the deepest, most competitive lending market in commercial real estate. 2026 data shows a genuinely active field — banks, life companies, agencies, CMBS conduits, and HUD all actively bidding for the same category of well-performing property. That combination — record CMBS issuance, agency programs offering both deep leverage and long amortization, and HUD's uniquely long-term structure — is exactly why permanent financing remains the most accessible category in commercial real estate, provided the property is genuinely stabilized.

- **A genuinely competitive multi-lender marketplace exists.** Banks, life companies, agencies, CMBS conduits, and HUD all actively compete for stabilized permanent loans, giving borrowers real leverage to shop terms.
- **Agency financing offers the deepest combination of rate and leverage for multifamily.** Fannie Mae and Freddie Mac programs price at 5.18% to 6.50% with leverage up to 80% LTV over terms of 5 to 30 years.
- **HUD/FHA multifamily programs offer the longest terms and highest leverage in the market.** HUD executions reach up to 85% LTV with terms of 35 to 40 years, pricing at 5.42% to 6.00%.
- **CMBS volume just hit its highest level since before the financial crisis.** $125.6 billion in CMBS was issued in 2025, the highest volume since 2007, reflecting deep institutional appetite for non-recourse, fixed-rate permanent debt.
- **Life company loans offer highly competitive pricing for the strongest assets.** Rates start as low as 5.23% with terms extending up to 30 years, though leverage is more conservative at roughly 70% LTV.

That said, pricing and requirements vary widely by capital source and property quality — conventional bank and life company rates alone span a wide range depending on sponsor strength and asset quality, and DSCR and debt yield minimums scale meaningfully by property type (office and hotel run notably tighter than multifamily and industrial). Because these loans are meant to stay in place for years, lenders underwrite to the durability of the income stream rather than a short-term exit, which means transitional, lease-up, or heavily renovated properties generally don't qualify until they've stabilized.

PAGE 2

2026 Market Outlook for Permanent Commercial Financing

Permanent financing enters 2026 with genuine depth across every major capital source, though pricing and leverage diverge sharply by property type and lender. The following figures outline where the market stands:

- Multifamily accesses the deepest and cheapest financing in the category: agency (Fannie Mae/Freddie Mac) rates run 5.18% to 6.50% at up to 80% LTV over terms of 5 to 30 years, while HUD/FHA multifamily programs push leverage even further to 85% LTV with 35-to-40-year terms at 5.42% to 6.00%.

  Source: SelectCommercial; Commercial Mortgage Broker, Commercial Mortgage Rates Guide 2026

- CMBS pricing and leverage now vary meaningfully by property type: 10-year fixed rates range from 5.50% to 6.30% for multifamily and industrial up to 6.00% to 7.10% for Class A office, with LTV generally capped at 60% to 75% (sweet spot 60% to 65%) and debt yield minimums running from 7.5% to 8.0% on multifamily up to 10.0% to 11.0% on hotels.

  Source: PeerSense, CMBS Loans 2026

- Bank and life company pricing spans a wide range depending on asset quality: conventional bank loans price at 4.93% to 8.75% (75% to 85% LTV, 3-to-15-year terms) while life insurance company loans run 5.23% to 8.60% (around 70% LTV, terms up to 30 years) — the widest range in the category, reflecting how heavily pricing depends on property quality and sponsor strength.

  Source: Commercial Mortgage Broker, 2026

- DSCR and debt yield minimums scale with perceived property-type risk: CMBS DSCR minimums run 1.25x for multifamily/industrial/retail up to 1.35x for office and 1.40x for hotel, while debt yield requirements range from 7.5% on multifamily to 11.0% on hotel.

  Source: PeerSense, 2026

- CMBS issuance just posted its strongest year since before the financial crisis: $125.6 billion in CMBS was issued in 2025, the highest volume since 2007, reflecting deep institutional appetite for non-recourse, fixed-rate permanent debt.

  Source: PeerSense, 2026

- Loan minimums and closing timelines reflect the institutional nature of this category: most permanent loan programs carry a practical minimum around $1.5 million, and CMBS executions typically take 45 to 90 days to close given the more extensive third-party reporting and rating-agency review involved.

  Source: SelectCommercial; PeerSense, 2026

Bottom line for 2026: Permanent financing is genuinely competitive right now — CMBS issuance is at its highest level since 2007, agency and HUD programs offer some of the deepest leverage and longest terms in commercial real estate, and multiple capital sources are actively bidding for well-performing assets. But pricing and requirements vary sharply by property type and lender, and DSCR/debt yield minimums tighten meaningfully

PAGE 3

Critical Metrics for Permanent Commercial Mortgage Financing

Lenders in this category underwrite the durability of in-place income above nearly everything else. The following metrics most often determine whether a request moves forward:

1. **Debt Service Coverage Ratio (DSCR)**
   Net operating income measured against total annual debt service, with minimums that scale by property type. **1.25x–1.40x depending on property type**

2. **Occupancy and Income Stability**
   Trailing 12-month (and often multi-year) operating performance, since permanent lenders underwrite to durability rather than a near-term exit. **85%+ stabilized occupancy typical minimum**

3. **Loan-to-Value**
   Leverage available varies significantly by capital source, from CMBS on the tighter end to HUD on the deepest end. **60%–85% depending on program**

4. **Debt Yield (CMBS Specifically)**
   Net operating income measured against loan amount, used alongside DSCR as a coverage test on CMBS executions. **7.5%–11.0% depending on property type**

5. **Sponsor Net Worth and Liquidity**
   Borrower financial strength relative to the loan amount, particularly for non-recourse executions. **net worth ≥25% of loan amount; post-closing liquidity ≥5%**

6. **Rate by Capital Source**
   Pricing available depends heavily on which lender type and property quality tier the deal fits. **5.18%–8.75% depending on lender type and asset quality**

7. **Loan Term and Amortization**
   Structure available varies from shorter bank terms to multi-decade HUD executions.
   5–40 yr term; 25–30 yr amortization (up to 30 yrs most programs)

These metrics form the practical filter that separates permanent financing requests that get funded from those that stall in underwriting.

PAGE 4

Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching lenders, confirm:

- [ ] Trailing 12-month operating statements are organized
- [ ] Current detailed rent roll is prepared
- [ ] Property condition information is documented
- [ ] Borrower/sponsor experience and financial statements are current
- [ ] Existing debt schedule (for refinances) is prepared
- [ ] Basic market and comparable information is gathered
- [ ] Entity documents are current

Common Reasons Permanent Financing Requests Underperform or Get Declined

- Incomplete or inconsistent trailing operating statements
- Missing or outdated rent roll
- DSCR or debt yield falling short of the target program's minimum for that property type
- Weak sponsor net worth or post-closing liquidity relative to loan size
- Approaching a capital source whose leverage or property-type appetite doesn't match the deal (e.g., a transitional asset submitted as if stabilized)

Final Perspective

Permanent financing in 2026 offers genuine depth and competition — CMBS issuance is at its highest level since 2007, agency and HUD programs provide some of the deepest leverage and longest terms available anywhere in commercial real estate, and banks and life companies round out a genuinely active field. But because pricing, leverage, and coverage requirements vary so significantly by property type and capital source, the deals that finance most smoothly are the ones where the sponsor has matched the property's profile to the right lender type from the start.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Incomplete operating statements, an outdated rent roll, and a DSCR or debt yield that falls short of the target program's minimum are among the most common reasons otherwise solid permanent financing requests lose time, money, and momentum.

YOUR NEXT STEP

How the K2 Lender-Ready System Helps

If you're serious about securing financing for commercial property, investment property, or your business, you owe it to yourself to use a system that's been developed over 26 years of commercial mortgage brokering.

This is the exact system K2 Commercial Finance has used to help clients secure more than $100 million in financing. It is designed to save you time, energy, and effort — and to put you immediately in front of the lenders most likely to fund your specific deal.

For $49.99, you get six months of full access to the complete K2 Lender-Ready System — including:

- **Preferred Lender Directory** — Curated lenders who have shown appetite for commercial real estate and business loans, matched to your property type and loan program.
- **AI Prep Coach** — Dozens of targeted prompts to help you present your transaction more clearly, position yourself as a stronger borrower, analyze lender offers, and negotiate with confidence.
- **Password-protected Deal Room** — Securely store and share documents in one private workspace.
- **Document Library** — A complete collection of documents, forms, checklists, and templates lenders commonly request.
- **Submission Tracker** — Know exactly where each file stands so nothing falls through the cracks.

Even with solid information, success still depends on approaching the right lenders with a properly prepared package. The K2 Lender-Ready System gives you both.

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Seven-Day Ready or Refund Guarantee

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